

If you are a Senior citizen

You need not pay even a rupee as tax if you are over 65, earning a monthly income of around Rs 25,000 and if you have invested the mandatory Rs 1 lakh in instruments that qualify for tax exemption under Section 80C. The investment requirement has been made easier to meet, since the Senior Citizen's Savings Scheme now qualifies as a Section 80C investment. Some deft planning can reduce your tax liability to a fraction. Here's how:

Annual tax on Rs 5 lakh income is:

- ✓ Rs 48,930 without any tax planning
- ✓ Rs 28,330 with full Sec 80C benefits
- ✓ Rs 24,210 by adding health insurance benefits
- ✓ Rs 520 by adding home loan benefits as well
- ✓ Tax liability is reduced by 98.9% by maximising the tax benefits available

Know your tax liability & savings Depending on investments

ANNUAL INCOME IN RS	TAX LIABILITY			SAVINGS	
	EXISTING Full 80C benefits	NEW No 80C benefits Full 80C benefits		IN RS	% OF ANNUAL INCOME
A	B	C	D	E = (B-D)	F = (E/A)
3,25,000	6,180	12,880	0	6,180	1.9
4,80,000	51,500	44,810	24,210	27,290	5.7
6,00,000	88,580	79,830	48,930	39,650	6.6
7,20,000	1,25,660	1,16,910	86,010	39,650	5.5
12,00,000	3,01,378	2,91,750	2,57,760	43,618	3.6

Difference between column B and D shows how much better off you are compared to last year. Difference between C and D shows how much you can save in taxes by investing under Sec 80C.

Here's how you save on tax

GROSS INCOME	RS 5 LAKH A YEAR	
	EXISTING(2007-8)	PROPOSED (2008-9)
Tax-free exemption	-1,95,000	-2,25,000
Savings w/s 80C	-1,00,000	-1,00,000
Taxable income	2,05,000	1,75,000
Medical insurance	-20,000	-20,000
Net taxable income	1,85,000	1,55,000
Tax payable	52,000	23,500
Education cess	1,560	705
Total tax outgo	52,569	24,205
Effective tax rate*	10.5%	4.8%

* % of gross income

WHAT'S CHANGED
 30,000 more
 No change
 30,000 lower
 No change
 30,000 lower
 28,500 lower
 855 saved
 29,355 saved
 5.7% lower



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